

Aileen also learned that a “progressive” income tax system means that as your income increases, so does the percentage of your income that is taxed. As Aileen earns more money throughout her career, the percentage of tax paid on her income will be greater.

While examining her employee manual, Aileen also discovered that she was receiving benefits that were included in her salary and not deducted from her paycheck. These benefits included sick days, holiday pay, and paid vacation. The value of these “fringe” benefits can be worth an additional 25 to 50 percent of an employee’s salary. Common employer-provided fringe benefits include:

- Paid vacation
- Paid sick and maternity leave
- Holiday days
- Retirement plans (a company may match your contributions)
- Life insurance
- Reimbursement of educational expenses
- Employee discounts

Aileen never thought to include the value of these fringe benefits in her salary. Her best friend Susanna, who is self-employed, emphasized to Aileen that none of the benefits Aileen took for granted were available to her. Whenever she wanted to take a vacation, for example, she had to stop working and therefore reduce her income. Since employers vary in the benefits they offer their employees, you should consider these benefits carefully when making job decisions. The actual salary might not tell the whole story if the employer has a generous benefits package to go along with it.

